

Harbourstone Apartments - Underwriting

Stable

ASSET CLASS	Multifamily - 48 Units
DOCUMENTS	10 uploaded files
REPORT TIER	Full Underwriting

Executive Summary

Deal overview, operating profile, and primary risk drivers

48-Unit Multifamily

CAPITAL RISK PROFILE

Stable

Primary Pressure Point: Expense Ratio (41.0%)

KEY METRICS SNAPSHOT

UNITS

48

OCCUPANCY

95.8%

ANNUAL IN-PLACE RENT

\$1,036,800

EFFECTIVE GROSS INCOME

\$1,036,800

OPERATING EXPENSES

\$425,000

NET OPERATING INCOME

\$611,800

EXPENSE RATIO

41.0% (Stable)

NOI MARGIN

59.0% (Stable)

BREAK-EVEN OCCUPANCY

41.0% (Stable)

KEY UPSIDE DRIVERS

- Occupancy is 95.8%, reflecting fully stabilized in-place tenancy.
- Operating cushion of 54.8% above break-even occupancy based on in-place performance.

PRIMARY CONSTRAINTS

- Debt terms were partially identified, but no debt sizing balance was provided; DSCR and current-debt service are not assessed.

CAPITAL RISK PROFILE: **STABLE**

Expense Ratio	41.0%
NOI Margin	59.0%
Break-Even Occupancy	41.0%

Operating profile classification based on standardized underwriting thresholds from uploaded documents only.

Uploaded Files

This section lists the files uploaded and associated with this report.

- rent_roll_ai_recovery_source.txt - 4/30/2026, 5:10:28 PM
- t12_ai_recovery_source.txt - 4/30/2026, 5:10:28 PM
- broker_email_source.txt - 4/30/2026, 5:10:28 PM
- capex_budget_unstructured_source.txt - 4/30/2026, 5:10:28 PM
- loan_terms_simple_source.txt - 4/30/2026, 5:10:28 PM
- market_rent_survey_unstructured_source.txt - 4/30/2026, 5:10:28 PM
- property_tax_bill_source.txt - 4/30/2026, 5:10:28 PM
- purchase_assumptions_source.txt - 4/30/2026, 5:10:28 PM
- unsupported_appraisal_summary_source.txt - 4/30/2026, 5:10:28 PM
- unsupported_phase_i_esa_source.txt - 4/30/2026, 5:10:28 PM

Uploaded Renovation / CapEx Document: Uploaded renovation/CapEx source file acknowledged: capex_budget_unstructured_source.txt. Structured CapEx modeling was not produced because the file was not converted into verified structured renovation inputs. No CapEx amount, renovation scope, rent lift, ROI, or payback calculation has been modeled from that document. Renovation-related figures are excluded from quantitative outputs unless separately shown as structured document-derived inputs.

Operating Statement (Trailing Twelve Months)

Operating summary based on uploaded financials

INCOME RECONSTRUCTION (TTM)

INCOME LINE ITEM	TTM AMOUNT
No line-item detail available. Effective Gross Income (TTM): \$1,036,800.	

OPERATING EXPENSES (TTM)

EXPENSE LINE ITEM	TTM AMOUNT
No line-item detail available. Total Operating Expenses (TTM): \$425,000.	

NET OPERATING INCOME SUMMARY

METRIC	VALUE
Effective Gross Income (TTM)	\$1,036,800
Total Operating Expenses (TTM)	\$425,000
Net Operating Income (TTM)	\$611,800
Operating Expense Ratio	41.0%
EGl per Unit (TTM)	\$21,600
OpEx per Unit (TTM)	\$8,854
NOI per Unit (TTM)	\$12,746

Operating Profile

Occupancy, rent level, and operating summary

INCOME & EXPENSE SUMMARY (LUMP-SUM T12)

LINE ITEM	AMOUNT (TTM)
Effective Gross Income (TTM)	\$1,036,800
Total Operating Expenses (TTM)	\$425,000
Net Operating Income (TTM)	\$611,800

No line-item detail available for this T12 format. All values are reported totals.

REVENUE UPSIDE QUANTIFICATION

METRIC	VALUE
Annual In-Place Rent	\$1,036,800
Annual Market Rent (100% Occupancy)	\$1,137,600
Gross Rent Upside	\$100,800 (9.7%)

All values document derived from uploaded rent roll. Market rents as stated in document.

Expense Structure Analysis

Expense ratio, drivers, and intensity flags

METRIC	VALUE
Operating Expense Ratio	41.0%
Operating Expense per Unit	\$8,854
NOI per Unit	\$12,746

EXPENSE FLAGS (DETERMINISTIC)

EXPENSE DRIVERS

No line-item expense detail available. Total Operating Expenses: \$425,000.

EXPENSE RATIO SENSITIVITY

EXPENSE RATIO	IMPLIED OPEX	IMPLIED NOI
50%	\$518,400	\$518,400
55%	\$570,240	\$466,560
60%	\$622,080	\$414,720
65%	\$673,920	\$362,880
70%	\$725,760	\$311,040

Anchored to reported EGI of \$1,036,800. Standardized threshold scenarios.

NOI Stability Review

Margin, volatility, and income resilience

INDICATOR	VALUE
NOI Margin	59.0%
Expense Sensitivity	59.0%
Break-even Occupancy	41.0%
Rent Roll vs T12 GPR Variance	0.0%

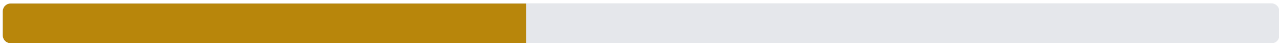
STABILITY DRIVERS (WORST 3)

- 1. NOI Margin 59.0%
- 2. Expense Ratio 41.0%
- 3. Rent Roll vs T12 GPR 0.0%

NOI SENSITIVITY (DETERMINISTIC)

SCENARIO	IMPLIED NOI	NOI MARGIN (IMPLIED)
Expenses +5% (cost shock)	\$590,550	57.0%
Income -5% (revenue shock)	\$559,960	56.9%
Combined Shock (-5% income, +5% expenses)	\$538,710	54.7%

BREAK-EVEN OCCUPANCY BUFFER



Break-even: 41.0% Current occupancy: 95.8%

Buffer: 54.8 percentage points – Strong cushion

Data Coverage & Underwriting Gaps

Missing inputs and omitted sections

CORE INPUT COVERAGE CONFIRMED: T12 and Rent Roll Verified.

Structured T12, rent roll, and debt inputs are used where available. Unsupported or unstructured uploads remain excluded from modeled outputs. Missing structured debt sizing prevents DSCR and current-debt assessment.

DATASET	FIELDS PRESENT	COVERAGE	MISSING
T12 Operating Statement	4/4	100.0%	None
Rent Roll	4/4	100.0%	None

Uploaded files are listed separately; only structured inputs are used quantitatively.

Scenario Analysis & Five-Year Outlook

Cash flow projections and return sensitivities

SCENARIO INPUTS

YEAR	CONSERVATIVE (2% GROWTH)	BASE (3% GROWTH)	OPTIMISTIC (4% GROWTH)
Year 1	\$624,036	\$630,154	\$636,272
Year 2	\$636,517	\$649,059	\$661,723
Year 3	\$649,247	\$668,530	\$688,192
Year 4	\$662,232	\$688,586	\$715,719
Year 5	\$675,477	\$709,244	\$744,348
Year 5 Exit Value	\$12,281,393	\$12,895,343	\$13,533,604

Basis: T12 NOI = \$611,800 | Exit cap: 5.50% (5.5% stated). Scenario outputs are deterministic from document-backed inputs.

YEAR 5 EXIT VALUE: CAP RATE SENSITIVITY

EXIT CAP RATE	CONSERVATIVE	BASE	OPTIMISTIC
4.5%	\$15,010,592	\$15,760,975	\$16,541,072
5.0%	\$13,509,533	\$14,184,878	\$14,886,965
5.50% (5.5% stated)	\$12,281,393	\$12,895,343	\$13,533,604
6.0%	\$11,257,944	\$11,820,731	\$12,405,804
6.5%	\$10,391,948	\$10,911,444	\$11,451,511

DATA NOT AVAILABLE (not present in uploaded documents). Metrics that depend on missing source inputs are shown as unavailable.

Deal Scorecard & Radar

InvestorIQ deal score components

FACTOR-LEVEL SCORES

Review

Composite Score: 78 / 100

FACTOR	VALUE	THRESHOLD	SCORE
Expense Ratio	41.0%	Below 55%	10/10
NOI Margin	59.0%	Above 45%	10/10
Occupancy Rate	95.8%	Above 95%	10/10
Break-Even Occupancy	41.0%	Below 70%	10/10
Rent-to-Market Gap	8.9%	5-15% upside	7/10
DSCR (Not Assessed)	DATA NOT AVAILABLE	Debt sizing balance not provided	0/10
Composite Score (normalized)			78/100

Scored from reported metrics only. Within Underwriting Parameters ≥ 70 | Review 50–69 | Outside Parameters < 50. DSCR not assessed caps the verdict at Review.

RISK REGISTER: DETERMINISTIC SIGNAL SUMMARY

RISK FACTOR	CURRENT READING	THRESHOLD	FLAG
Expense Ratio	41.0%	CLEAR < 55% WATCH 55–65% ELEVATED > 65%	CLEAR
NOI Margin	59.0%	STRONG > 45% WATCH 35–45% LOW < 35%	STRONG
Occupancy Rate	95.8%	CLEAR > 95% WATCH 85–95% LOW < 85%	CLEAR
Break-Even Occupancy	41.0%	CLEAR < 70% WATCH 70–80% ELEVATED > 80%	CLEAR
Rent-to-Market Gap	8.9% below market	> 15% = meaningful upside 5–15% = moderate < 5% = minimal	MODERATE
DSCR	Debt sizing balance not provided	Debt terms were partially identified; DSCR and current-debt service are not assessed	NOT ASSESSED

Signals are derived deterministically from document-backed inputs and framework-constrained calculations. Missing inputs are not inferred.

Discounted Cash Flow (DCF)

Cap rate expansion, exit sensitivity, and downside valuation pressure

YEAR	NOI	EXIT VALUE	TOTAL CASH FLOW	PV FACTOR	PRESENT VALUE
Year 1	\$630,154	-	\$630,154	0.9259	\$583,476
Year 2	\$649,059	-	\$649,059	0.8573	\$556,463
Year 3	\$668,530	-	\$668,530	0.7938	\$530,701
Year 4	\$688,586	-	\$688,586	0.7350	\$506,131
Year 5	\$709,244	\$12,895,343	\$13,604,587	0.6806	\$9,259,053
Estimated Intrinsic Value (Sum of PVs)					\$11,435,825

Basis: T12 NOI = \$611,800 | Annual NOI growth: 3.0% (stated) | Discount rate: 8.0% (stated) | Exit cap: 5.50% (stated default)

INTRINSIC VALUE: EXIT CAP RATE SENSITIVITY

EXIT CAP RATE	YEAR 5 EXIT VALUE	IMPLIED INTRINSIC VALUE	VS. BASE
4.5%	\$15,760,975	\$13,386,126	17.1%
5.0%	\$14,184,878	\$12,313,460	7.7%
5.50% (stated default)	\$12,895,343	\$11,435,825	-
6.0%	\$11,820,731	\$10,704,462	-6.4%
6.5%	\$10,911,444	\$10,085,617	-11.8%

Methodology & Data Transparency

Assumptions, methodology notes, and data limitations

InvestorIQ does not assume or gap-fill missing data. Outputs are primarily attributable to uploaded documents and defined modeling frameworks, with transparency and auditability as core design principles.

Assumptions in this memorandum are permitted only when anchored to uploaded documents or standardized underwriting frameworks. InvestorIQ does not invent missing data or fabricate market inputs.

12.1 InvestorIQ Estimates

InvestorIQ estimates are document-backed and framework-constrained, using uploaded documents and standardized underwriting frameworks. When required inputs are missing, those estimates are omitted rather than inferred.

12.2 Methodology Notes

Metrics and tables reflect document-backed inputs, deterministic calculations, and framework-constrained outputs. Missing source data is not gap-filled.

12.3 Data Limitations & Missing Inputs

This memorandum is limited to the documents provided and the fields that could be verified. Missing values are disclosed and excluded from analysis.